Third, there is a policy preference for own housing compared to rental housing. There are large tax incentives for own housing. The government also provides substantial subsidy support to affordable housing. This leads real-estate and construction companies to construct residential housing projects to be sold on an owned basis. Real-estate companies do construct office buildings, warehouses and other buildings for use on a rental basis. The innovation of REITs and INVITs has further helped rentable properties to be monetized. However, tax and other incentives for own housing have distorted the valuation of housing, further accentuated by irrational valuations of owned residential houses. We need a sharp policy correction to bring equality of incentives for construction of rental and owned housing schemes. The proof of such a balanced policy regime would be whether the real-estate industry constructs as many residential housing complexes to be owned by companies/REITs for income from rentals. If rental incomes can sustain residential investments, the industry would become financially attractive and boom. If India were to have such a sensible housing policy, about half the houses to be built till 2035 should be for rental housing.

The construction sector should be contributing about 10 per cent of India’s GDP in 2035, which will contribute GDP equal to the GDP of the agricultural sector in 2035. In other words, 40 per cent of India’s industrial GDP in 2035 should come from the construction sector.

Reforming and Revitalizing the Small Sector

India formally divides small businesses in three categories of micro, small and medium based on capital investment in plant and machinery.

Mass production and distribution or customized production and distribution are the real differentiators between large and small businesses. The unique selling preposition of these small businesses is more customization, localization and personal delivery to the consumer.